

HOUSE BILL 2339

By Hemmer

AN ACT to amend Tennessee Code Annotated, Title 47,
relative to ticket sales.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 47, Chapter 18, is amended by adding the following as a new part:

47-18-3501. Short title.

This part is known and may be cited as the "Fair Access to Non-Inflated Seats (FANS) Act."

47-18-3502. Part definitions.

As used in this part:

(1) "Bot" means any machine, device, computer program, or computer software that, on its own or with human assistance, bypasses security measures or access control systems on a retail ticket purchasing platform, or other controls or measures on a retail ticket purchasing platform that assist in implementing a limit on the number of tickets that can be purchased, to purchase tickets;

(2) "Original total price" means the total price the ticket issuer charges for a ticket at initial sale, including all original fees and taxes in connection with the initial ticket;

(3) "Primary ticket seller":

(A) Means, with respect to an event ticket, any person who has the right to sell the event ticket prior to or at the primary sale of the ticket, including the event organizer, or any person who provides services to

conduct or facilitate the primary sale of event tickets by or on behalf of the event organizer; and

(B) Does not include:

(i) A school with grades kindergarten through twelve (K-12); or

(ii) A non-sporting or non-athletic event that is organized by a postsecondary school or a nonprofit entity in which the artists or participants are primarily students;

(4) "Professional reseller" means a person that sells more than fifty (50) resale event tickets in any consecutive twelve-month period;

(5) "Resale":

(A) Means the second or any subsequent sale of a ticket by any method after the primary sale of the ticket;

(B) Includes in-person transactions; transactions conducted by telephone, mail, email, or facsimile; and transactions conducted by electronic means through websites or mobile applications; and

(C) Does not include the sale of a ticket returned to or exchanged by a primary ticket seller;

(6) "Resale fee":

(A) Means a percentage of a ticket's initial price that a reseller or resale platform may add to the original total price of the initial ticket purchased from a venue, promoter, or artist; and

(B) Includes any mandatory fees added to the resale ticket's cost, including, but not limited to:

(i) Processing fees;

- (ii) Convenience fees;
- (iii) Resale platform fees;
- (iv) Seller fees; and
- (v) Credit card processing fees;

(7) "Resale platform":

(A) Means an electronic marketplace enabling the sale, purchase, or resale of tickets; and

(B) Does not include the sale of a ticket returned to or exchanged by a primary ticket seller;

(8) "Reseller" means a person engaged in the resale of tickets;

(9) "Speculative ticket":

(A) Means a ticket that is not in the actual or constructive possession of the reseller at the time of listing, sale, or advertisement; and

(B) Includes tickets that are not owned by the reseller;

(10) "Ticket" means any form of physical, electronic, or other evidence that grants the possessor of such evidence license to enter a place of entertainment for one (1) or more events at a specified date and time; and

(11) "Ticket Issuer" means a person or entity that issues tickets for initial sale, including musicians, venues, promoters, theater companies, marketplaces for initial purchases, or their agents.

47-18-3503. Speculative ticket sales prohibited.

A reseller shall not sell or offer to sell a speculative ticket.

47-18-3504. Ticket presale restrictions.

(a) A primary ticket seller, reseller, resale platform, or an affiliate of a primary ticket seller, reseller, or resale platform shall not resell a ticket before the ticket has been made available for sale to the public through the ticket's initial sale, including through a presale advertised to the general public, unless authorized by the event promoter, event venue, or artist.

(b) A reseller, resale platform, or an affiliate of a reseller or resale platform shall not access or participate in a ticket presale.

47-18-3505. Restrictions on ticket transferability.

(a) An artist, event venue, or private ticketing provider shall restrict the transferability of a ticket if the terms and conditions of the restriction on transferability are clearly and conspicuously provided to the consumer prior to purchase and the consumer acknowledges receipt of such disclosure prior to purchase.

(b) A ticket of admission to a theatrical exhibition, public show, or public amusement or exhibition is a license. Venue operators, or operators' agents, may maintain and enforce policies and conditions or requirements for a ticket purchase with respect to conduct, behavior, public health and safety, or age at the venue or event and may establish limits on the quantity of tickets that may be purchased.

47-18-3506. Ticket refunds.

(a) A ticket issuer, resale platform, or reseller that engages in a ticket sale transaction directly with a purchaser shall provide a ticket purchaser with a full refund, including all fees and taxes, if:

(1) The ticket is counterfeit; or

(2) The ticket the purchaser received does not conform to the description provided at the time of purchase.

(b) A ticket issuer, resale platform, or reseller shall issue a refund required by subsection (a) within ten (10) days of the date of receipt of notice from the purchaser that the ticket is counterfeit or does not conform to the description provided at the time of purchase.

(c) If the event presenter or venue operator for an event for which a ticket refund is required to be issued pursuant to this section is a nonprofit organization, then the ticket issuer, resale platform, or reseller shall offer the purchaser the following options:

- (1) A refund of the ticket price, including fees and taxes;
- (2) An exchange of the ticket for another ticketed event of equal value;

and

- (3) Donating the value of the ticket to the nonprofit organization.

47-18-3507. Ban on improper use of intellectual property.

It is a violation of this part for a resale platform, reseller, or the operator of any website purporting to sell or offer for sale event tickets that links or redirects to a resale platform or reseller, to:

(1) Use any artist name, venue name, or event organizer name, graphic, marketing logo, image, or other intellectual property of the artist, venue, or event organizer, including any proprietary resemblance of the venue where an event is to occur, in promotional material, a social media promotion, or a uniform resource locator (URL) of the resale platform, reseller, or website without the express written consent of the respective artist, venue, or event organizer and under the terms of agreement between the artist, venue, or event organizer and the resale platform, reseller, or website; or

(2) State or imply that the resale platform, reseller, or website is affiliated with or endorsed by a venue, team, or artist, unless the resale platform, reseller,

or website has the express written consent of the venue, team, or artist, as applicable.

47-18-3508. Prohibited actions — Limitations.

(a) A person shall not use or create a bot, or employ another method, to:

(1) Purchase tickets for any single internet ticket sale;

(2) Use multiple internet protocol (IP) addresses, purchaser accounts, phone numbers, or email addresses to purchase tickets in excess of eight (8) tickets, or the posted limit if less than eight (8) tickets, for any single internet ticket sale;

(3) Circumvent or disable an electronic queue, waiting period, presale code, or other sales volume limitation system associated with an internet ticket sale; or

(4) Circumvent or disable a security measure, access control system, or other control or measure used to facilitate authorized entry to an event.

(b)

(1) A primary ticketing platform shall report any known circumvention or attempted circumvention of the prohibitions outlined in subsection (a) to the attorney general and reporter within forty-eight (48) hours of discovery.

(2) The report to the attorney general and reporter under subdivision (b)(1) must include:

(A) A description of the incident, including the nature of the circumvention;

(B) Any available information about the individuals or entities involved; and

(C) Measures taken or planned to prevent further circumvention.

(3) The primary ticketing platform shall retain all relevant records of the incident for a period of one (1) year from the date of discovery of the incident and make them available to the attorney general and reporter upon request.

47-18-3509. Price and fee caps on resale.

(a) The total price at which a reseller or resale platform may sell or offer to sell a ticket shall not exceed the original total price of the initial ticket, including all original fees and taxes in connection with the initial ticket.

(b) If initial tickets were purchased for a series of events, such as season tickets for a sports team, then the total resale price of a ticket for a single event shall not exceed the total price of a comparable ticket, including all fees and taxes.

(c) All resale fees, in total, shall not exceed ten percent (10%) of the total price of the initial ticket.

(d) The only fees beyond the resale fee that a reseller or resale platform may add to the original total price of the initial ticket when resold are state and local sales tax.

47-18-3510. Resale platform liability for facilitating bot-acquired sales.

(a) A resale platform shall not facilitate the listing or sale of a ticket that was listed or obtained using a bot.

(b) A resale platform is deemed to have facilitated a listing or sale using a bot if:

(1) The ticket was listed or sold through its website; and

(2) The platform failed to require and retain the certifications described in

§ 47-18-3511.

47-18-3511. Seller certification and disclosure.

(a) A resale platform shall require each seller, prior to listing a ticket for sale, to sign and submit a certification that attests under penalty of perjury that:

(1) The seller is in possession of the ticket offered for sale;

(2) The ticket was not obtained using a bot or in violation of any applicable state or local law or rule where the event is located; and

(3) The seller acknowledges that listing a speculative or bot-acquired ticket may result in civil penalties under § 47-18-3514.

(b) A resale platform shall retain all seller certifications and supporting information for at least five (5) years from the date such certifications and supporting information are received by the resale platform, and shall produce such documentation to the attorney general and reporter upon request.

47-18-3512. Resale platform disclosure requirements.

(a) A resale platform shall clearly and conspicuously disclose the following for each ticket listing:

(1) The name, username, or business name of the seller;

(2) The city and state, or if located in a foreign country, the name of the country, where the seller is domiciled;

(3) Whether the seller is a professional reseller or fan seller;

(4) A rating from a system established by the resale platform to collect customer feedback on sellers; and

(5) A customer service contact method.

(b) A resale platform or reseller shall not:

(1) Obscure, anonymize, or falsify the seller's identity or city, state, or foreign country of domicile; or

(2) Permit a seller to withhold required information unless exempted by the attorney general and reporter under narrowly defined public safety circumstances.

47-18-3513. Platform compliance obligations.

A resale platform shall:

- (1) Remove any listings identified as speculative or bot-acquired within twenty-four (24) hours of initial listing or the time such speculative or bot-acquired listing is discovered;
- (2) Provide a public-facing complaint mechanism for consumers to report violations;
- (3) Monitor listings and implement reasonable technological measures to prevent repeat violations;
- (4) Report to the attorney general and reporter the contact information of any reseller removed by the platform for violating this part; and
- (5) Retain a list of resellers for not less than two (2) years after each reseller's final transaction.

47-18-3514. Enforcement — Penalties.

(a)

(1) A violation of this part constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in part 1 of this chapter. Any violation of this part constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in the Tennessee Consumer Protection Act of 1977, in addition to the penalties and remedies in this part.

(2) The attorney general and reporter has all of the investigative and enforcement authority that the attorney general and reporter is vested with under the Tennessee Consumer Protection Act of 1977 relating to alleged violations of this part. The attorney general and reporter may institute any proceedings

involving alleged violations of this part in Davidson County circuit or chancery court or any other venue otherwise permitted by law.

(3) Costs of any kind or nature must not be taxed against the attorney general and reporter or the state in actions commenced under this part.

(b) Notwithstanding the limitations on the amounts of civil penalties that may be imposed under part 1 of this chapter, the attorney general and reporter may assess civil penalties pursuant to subsection (c), and may take such legal actions that the attorney general and reporter deems necessary to enforce collection of such civil penalties, for a violation of this part.

(c)

(1) A violation of this part is subject to a civil penalty of:

(A) A base penalty of not less than fifteen thousand dollars (\$15,000) for each day a violation occurs or continues; and

(B) An additional penalty equal to the greater of:

(i) One thousand dollars (\$1,000) for each ticket listed, advertised, sold, or resold in violation of this part; or

(ii) An amount equal to five (5) times the total ticket price of each ticket listed, advertised, sold, or resold in violation of this part.

(2) A person who is found to have intentionally violated this part is subject to an additional penalty of not less than ten thousand dollars (\$10,000) for each ticket advertised, sold, or resold in violation of this part.

47-18-3515. Reporting mechanism for violations — Annual report.

(a) On or before October 1, 2026, the attorney general and reporter shall establish a publicly accessible website to allow individuals to report violations of this part.

(b) On or before July 30, 2027, and no later than July 30 of each subsequent year, the attorney general and reporter shall prepare an annual report to the general assembly detailing the previous fiscal year's enforcement actions, penalty collections, and overall effectiveness of this part in reducing violations. The attorney general and reporter shall submit a copy of the report to the chief clerk of the senate, the chief clerk of the house of representatives, and the legislative librarian, and make the report available to the public on the attorney general and reporter's website. Publication and submission of the report may be accomplished by electronic means.

SECTION 2. Tennessee Code Annotated, Section 47-50-119, is amended by deleting the section.

SECTION 3. Tennessee Code Annotated, Section 47-50-121(a), is amended by adding the following as a new subdivision:

() "Speculative ticket":

(A) Means a ticket that is not in the actual or constructive possession of a reseller at the time of sale, advertisement, or listing; and

(B) Includes a ticket sold by a reseller that, at the time of resale, is not:

(i) In the physical possession of the reseller;

(ii) Owned by the reseller; or

(iii) Under contract to be transferred to the reseller;

SECTION 4. Tennessee Code Annotated, Section 47-50-121, is amended by adding the following as a new subsection:

(e)

(1)

(A) A third-party ticket reseller shall not sell or offer to sell a speculative ticket.

(B) A third-party ticket reseller that operates an internet website or other electronic service that provides a mechanism for two (2) or more parties to participate in a resale transaction shall not allow the sale or offering for sale of a speculative ticket.

(2)

(A) The division of consumer affairs in the office of the attorney general and reporter shall enforce this subsection (e). The division shall establish a means by which a consumer may submit a complaint for a violation of this subsection (e).

(B) If the division of consumer affairs finds that a third-party ticket reseller violated subdivision (e)(1)(A) or (e)(1)(B), then the division must assess a penalty of five thousand dollars (\$5,000) per violation. Each instance of selling, offering for sale, or allowing the sale or offering for sale of a speculative ticket is a separate violation.

SECTION 5. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 6. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 7. This act takes effect July 1, 2026, the public welfare requiring it.